Northbridge Technologies Corp. (KMW) - Form 10-K

FY2024

Northbridge Technologies Corp.

Form 10-K for the Fiscal Year Ended 2024

Ticker: KMW | Sector: Health Care | HQ: Rhode Island

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Northbridge Technologies Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Northbridge Technologies Corp. ("Northbridge," "we," "our," or "us") is an integrated health care company headquartered in Rhode Island. We combine pharmacy services, health benefits administration, and care delivery offerings to serve individual, employer, and government-program customers. Our business spans retail and specialty pharmacy operations, pharmacy benefit management, and health plan administration, with the goal of coordinating care and cost management across the points at which consumers interact with the health care system.

For the fiscal year ended in 2024, we generated net revenue of $414,916.9 million. Our balance sheet reflects a history of acquisitions across our pharmacy, benefits, and care delivery businesses: goodwill and acquired intangible assets together represented approximately 43.0% of our total assets as of fiscal year end.

Segments

We organize our operations around pharmacy services, health care benefits, and health services. Our pharmacy services operations include retail pharmacy locations and specialty and mail-order pharmacy fulfillment. Our health care benefits operations provide health insurance and related administrative services to individual, employer, and government-program members. Our health services operations provide primary care, diagnostic, and other care-delivery services designed to work alongside our pharmacy and benefits operations.

Competition

The health care industry is highly competitive and includes retail and specialty pharmacies, pharmacy benefit managers, health insurers, and care-delivery organizations, some of which compete with only one part of our integrated model and others of which compete across it. We believe the principal competitive factors in our industry are network breadth, service quality, cost management, and the ability to coordinate care across pharmacy, benefits, and clinical settings.

Regulation

Our businesses are subject to extensive regulation at the federal and state level, including regulation of pharmacy operations, health insurance, and health care services. Changes in health care laws and regulations, including those governing drug pricing, pharmacy benefit management practices, and government health care programs, could affect how we operate and the economics of our business. During fiscal 2024, recently enacted state and federal measures affecting pharmacy benefit management practices and prescription drug pricing took effect across several of the markets in which we operate, affecting our margins for the year.

Human Capital

We employ a large workforce across our pharmacy, benefits, and care-delivery operations, including pharmacists, clinicians, customer service, and corporate support personnel. We focus on competitive compensation and benefits, training, and career-development programs to attract and retain health care and service talent across our integrated operations.

Item 1A. Risk Factors

Risks Related to Our Business and Industry

Our businesses operate on thin margins, and further pressure on reimbursement rates or pricing could adversely affect our results. For the fiscal year ended in 2024, our operating margin was 2.3% and our net margin was 1.3%. Because our margins are already thin, changes in reimbursement rates from government programs or commercial payors, increased generic and specialty drug costs, or pricing pressure from competitors could have an outsized effect on our profitability relative to a business with wider margins.

Our integrated model depends on coordinating pharmacy, benefits, and care-delivery operations, and we may not realize the benefits we expect from that integration. If we are unable to effectively coordinate across these operations, or if customers do not value an integrated offering as much as we expect, our strategy may not produce the cost savings or growth we anticipate.

We face intense competition across each of our pharmacy, benefits, and care-delivery businesses. Some competitors operate only in a single part of our business and may be able to compete more aggressively on price or service in that area, while others are large, diversified competitors with significant financial resources.

Risks Related to Regulation

Our businesses are subject to extensive and evolving health care regulation, and changes in law could adversely affect our results. Changes in drug pricing policy, pharmacy benefit management regulation, or the rules governing government health care programs could require us to change our business practices or could reduce our revenue or margins.

Risks Related to Our Financial Position

A significant impairment of our goodwill or intangible assets could adversely affect our results of operations. Goodwill and acquired intangible assets together represented approximately 43.0% of our total assets as of fiscal year end. We test these assets for impairment at least annually, and a deterioration in the performance or outlook of one or more of our businesses could require us to recognize a material non-cash impairment charge.

Our level of liabilities relative to our total assets could limit our financial flexibility. As of fiscal year end, our total liabilities represented approximately 66.9% of our total assets. This level of liabilities could reduce the cash available for operating needs, acquisitions, or shareholder returns in a prolonged downturn.

Risks Related to Cybersecurity and Information Technology

Our business depends on information technology systems that process sensitive health, financial, and personal information for our customers and members. As described in Item 1C, “Cybersecurity,” while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems or those of our third-party service providers could disrupt our pharmacy, benefits, or care-delivery operations, compromise sensitive data, and result in remediation costs, regulatory scrutiny, litigation, or reputational harm.

General Risk Factors

Our quarterly and annual results may fluctuate due to factors including the timing of drug pricing changes, seasonal patterns in health care utilization, and changes in the mix of business among our pharmacy, benefits, and care-delivery operations.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity risk management program informed by ISO/IEC 27001, designed to identify, assess, and manage risks from cybersecurity threats to our information systems and the sensitive health, financial, and personal data we and our pharmacy, benefits, and care-delivery businesses process.

Our program includes recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for identifying, escalating, containing, and remediating cybersecurity incidents. Because our operations depend in part on third-party service providers and business partners, our vendor management process includes an assessment of those providers' security practices before and during the engagement. We maintain cybersecurity insurance that may offset a portion of the costs associated with certain incidents.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, given the volume and sensitivity of the data we process across our pharmacy, benefits, and care-delivery operations, we are a frequent target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise sensitive data, and result in remediation costs, regulatory scrutiny, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

A dedicated Technology and Cybersecurity Committee of our Board of Directors oversees our cybersecurity risk management program. Management provides the committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face across our pharmacy, benefits, and care-delivery operations. The committee in turn reports to the full Board on cybersecurity matters it believes warrant the Board's attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Northbridge Technologies Corp. is an integrated health care company operating pharmacy services, health care benefits, and health services businesses. For the fiscal year ended in 2024, we generated net revenue of $414,916.9 million, operating income of $9,593.3 million (an operating margin of 2.3%), and net income of $5,369.5 million (a net margin of 1.3%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended in 2024 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenue	$414,916.9	100.0%
Cost of revenue	254,356.9	61.3%
Other operating expenses	150,966.8	36.4%
Operating income	9,593.3	2.3%
Income tax expense	4,223.7	1.0%
Net income	5,369.5	1.3%

Cost of revenue represented approximately 61.3% of net revenue, and other operating expenses, which include selling, general and administrative costs across our pharmacy, benefits, and health services operations, represented approximately 36.4% of net revenue, together reflecting the scale and relatively thin unit economics typical of our integrated pharmacy and health benefits businesses. Our thin margins for fiscal 2024 also reflect, in part, recently enacted state and federal measures affecting pharmacy benefit management practices and prescription drug pricing, which took effect during the year across several of the markets in which we operate. Our effective tax rate for the year was 44.0%, which is high relative to the 21% U.S. federal statutory rate primarily because non-deductible items and other permanent differences represent a larger proportion of a thin pretax income base than they would of a larger one.

Liquidity and Capital Resources

We generated $9,017.6 million of cash from operating activities during fiscal 2024, reflecting net income of $5,369.5 million and non-cash depreciation and amortization of $4,457.5 million, partly offset by an unfavorable change in working capital and other items of $809.5 million. We used $9,579.9 million of cash in investing activities, including capital expenditures of $2,851.8 million. Financing activities used $1,290.1 million of cash, including $3,944.3 million of dividends paid to shareholders and $3,076.0 million used for share repurchases, partly offset by other financing inflows. Taken together, our cash and cash equivalents decreased by $1,852.4 million during the year.

As of fiscal year end, we had stockholders' equity of $106,080.4 million, equal to approximately 33.1% of total assets, and no outstanding short-term or long-term debt reported separately from our other liabilities. We believe our cash flow from operations will be sufficient to fund our operating needs, capital expenditures, dividends, and share repurchases for at least the next twelve months.

Critical Accounting Estimates

Goodwill and Intangible Assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually. Goodwill and acquired intangible assets together represented approximately 43.0% of our total assets as of fiscal year end, reflecting the acquisitive history of our pharmacy, benefits, and health services businesses; a deterioration in the performance or outlook of one or more of our reporting units could result in a material impairment charge.

Reserves for Health Care Costs and Rebates. We make significant estimates regarding reserves for health care benefit claims incurred but not yet paid, and for rebates owed to or receivable from manufacturers and payors, based on historical experience and actuarial assumptions. Actual results could differ from these estimates.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Northbridge Technologies Corp. for the fiscal year ended in 2024. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$9,969.1
Accounts receivable, net	43,913.8
Inventory	23,523.6
Goodwill	106,162.5
Intangible assets, net	31,677.9
Other assets	105,226.0
Total assets	$320,472.8

Liabilities

Line item	Amount
Accounts payable	$17,524.6
Accrued liabilities	27,373.3
Other liabilities	169,494.6
Total liabilities	$214,392.5

Stockholders' Equity

Line item	Amount
Retained earnings	$73,060.5
Accumulated other comprehensive loss	(170.3)
Other equity	33,190.2
Total stockholders' equity	$106,080.4

Line item	Amount
Total liabilities and stockholders' equity	$320,472.8

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenue	$414,916.9
Cost of revenue	254,356.9
Other operating expenses	150,966.8
Operating income	9,593.3
Interest expense	—

Line item	Amount
Income before income taxes	9,593.3
Income tax expense	4,223.7
Net income	$5,369.5

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$5,369.5
Depreciation and amortization	4,457.5
Changes in working capital and other	(809.5)
Cash from operating activities	9,017.6

Investing activities:

Line item	Amount
Capital expenditures	(2,851.8)
Other investing activities	(6,728.1)
Cash used in investing activities	(9,579.9)

Financing activities:

Line item	Amount
Dividends paid	(3,944.3)
Share repurchases	(3,076.0)
Other financing activities	5,730.2
Cash used in financing activities	(1,290.1)

Line item	Amount
Net decrease in cash	$(1,852.4)

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and acquired intangible assets totaled $106,162.5 million and $31,677.9 million, respectively, as of fiscal year end, together representing approximately 43.0% of total assets. We test these assets for impairment at least annually; no impairment was recognized during fiscal 2024.

Note 2. Income Taxes Our effective tax rate for fiscal 2024 was 44.0%, compared with the 21% U.S. federal statutory rate. The difference primarily reflects non-deductible items and other permanent differences, which represent a larger proportion of our pretax income given our thin overall margins.

Note 3. Commitments and Contingencies We are subject to various claims and legal proceedings, including matters related to our pharmacy, benefits, and health services operations, arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.